higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

ENTREPRENEURSHIP AND BUSINESS MANAGEMENT N5
(Second Paper)

27 MAY 2019

This marking guideline consists of 11 pages.

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SECTION B

QUESTION 2

2.1 Diagnose and define the problem

- To sell the businesses or to stay behind and run the business

Gather information about the problem

- Ask people for information
- The positive and negative outcome of selling or not selling the business
- The long term impact of selling the business

Put the real problem in writing

- Losing the husband
- Starting a new life
- Going to a new environment

Establish decision-making criteria

- Consult others
- Ask for help and advice

Develop an alternative solution

- Generate more ideas through creative methods
- Plan B
- Employ someone to oversee the business
- Move the business with her to the village

Determine a possible solution

- Positive aspect of the best alternative
- Building a family
- Resting after a long period of hard work
- Open to new challenges as a result of the decision made

Decide/take action

- Make your decision
- Sell the business
- Rent the business out
- Move the business
- Employ someone to oversee the business

(ONE mark for naming the step and ONE mark for the explanation) (7 × 2) (14)

2.2 2.2.1

(a) Time
- To allow certain duties to be done when transport is not needed e.g. cleaning of the cars and maintenance could be done during the day shift
- Night shift
- Saturday/holiday drivers

(b) Customer
- This is based on customers' needs
- Transport for students
- Transport for staff
- Transport for weddings
- Transport for special events

(c) Products
- Available for events
- Available for weddings
- Available for daily transport
- This could be a part of maintenance
- Planning of different routes for specific occasions
- Booking office

(d) Process
- It is not common in the transport business
- It involves booking and reservation
- Payment
- Confirmation

(e) Functionality
- The transport business might be divided into an administrative department/personnel department
- Marketing department
- Financial department

(Any 5 × 4) (20)

2.2.2
- Price –affordable and reasonable prices
- Reputability – good and outstanding reputation
- Credit – offering credit facilities
- Distance – close enough location
- Quality – good, reliable and availability of good products/-services
- Reliability – deliver on time (Any 4 × 2) (8)

2.2.3 True (2)

2.2.4
- Owner
- Transport manager
- Event manager (6)

[50]

QUESTION 3

3.1 3.1.1

FIXED COST	VARIABLE COSTS
• Salary • Rent • Insurance premium	• Water and electricity • Telephone • Repairs and maintenance • Stationery • Wages, etc.

(Any 2 × 2) (4)

3.1.2
- The full name and address of the employer
- The full name and address of the employee
- A brief description of the work required
- The place of work
- Normal working hours and days of work
- Length of the contract, including termination, if required
- Agreed rate of payment (Any 5 × 1) (5)

3.1.3 Internal direct environment (negative)

Economic environment
- If the economy goes into recession, disposable income will decrease, customers have less money to spend.
- A higher interest rate will affect disposable income.
- Higher inflation will affect living standards.
- Jobs can be lost when businesses are forced to close down.

Political forces
- Strikes led by workers or trade unions
- Political tension in the country
- Environmental or lobby groups
- Changes in political parties
- Labour malpractices or unethical decisions
- Increases of salaries and wages

Cultural forces
- Customer boycott due to misunderstanding
- Wrong signs and interpretation
- Beliefs and challenges
- Some slogan

Environment
- Poor management of the environment may influence Mary's business negatively
- Lack of interest or care of her natural heritage may lead to pollution, which will have a negative effect on the business.
- Lack of proper environmental awareness may change Mary's customer patterns.
- Lack of environmental care by Mary may be exposed by environmental care groups, thereby imposing a fine or penalty on her business.

Technological forces
- Lack of quick response may destroy Mary's business.
- Introduction of new equipment means involving greater costs.
- Jobs may be lost.
- Training may be needed, which means involving greater costs.
- Exposed to new competitors.

International environment
- Any changes in the world market will affect her business.
- Increases in the oil market will mean an increase in petrol.
- Increase in raw material due to imports will reduce her profit.
- Poor international environment may lead to a lack of overseas customers. (Name ONE mark, explanation ONE mark)

External direct environmental factors

Customers
- Changes in customers' needs
- Changes in customers' income
- Poor customer service may decrease her profit
- Lack of customer care may affect her business negatively
- Fewer customers who buy in large quantities

Suppliers
Poor quality raw material may lead to the following:
- Waste
- Defects in finished goods
- Labour time increases to improve quality, but costs more
- Returns from customers
- Losing customers because of dissatisfaction
- Lack of excellent service – overhead cost
- High pricing

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Competitors
- New competitors will attract your customers
- Lack of comparative prices may cut off your customers
- High overhead costs may affect your profit
- Lack of economic scale may affect your profit margin

Government
- Lack of government regulation may affect your business
- Introduction of new bylaws may impact negatively on your business.
- Lack of government intervention and financial support may lead to economic failure. (Name ONE mark, explanation ONE mark) (12)

3.2 3.2.1 Fixed cost x 100%
Average gross profit percentage✓

8 000✓ × 100
25,5%✓

R31 372,55✓ (4)

3.2.2 Fixed cost✓
Selling price – Cost price
8 000✓

80 – 35

8 000
45✓

177, 78 or 178 units✓ (4)

3.2.3 Fixed cost + R5 000✓
Average gross profit percentage

8 000✓ + 5 000✓
25,5%✓

R50 980, 39✓ (5)

3.3 3.3.1
- Respect employees' rights to freedom of association
- Protection of employees and person seeking employment
- Protection of employer's rights

3.3.2
- Register employees with the fund
- Deduction of employees of 1% contribution to the fund
- Payment of employer and employee contribution to the fund

3.3.3
- Regulates the working time of each employee
- May not require an employee to work more than 12 hours a day
- May not require an employee to work overtime without prior agreement
- May not require or permit an employee to work more than the required hours

3.3.4
- Every employer must take steps to promote equal opportunities at the work place.
- No direct or indirect discrimination
- Medical testing of an employee is prohibited

(Any 4 × 2 × 2) (16)
[50]

QUESTION 4

4.1 4.1.1
- Be creative and take initiative
- Take the risk of doing new things
- Blame no one for the past situation
- Remain positive towards the future

4.1.2
- Set personal realistic goals
- Develop positive objectives
- Develop a personal mission statement

4.1.3
- Reach out to others.
- Build friendly relationships.
- Create opportunities for others.
- Adopt good working attitudes towards all.

4.1.4
- Accept the opinions of other people.
- Listen to others.
- Be open to new ideas and views.

4.1.5
- First things first
- Give immediate attention to important and urgent matters.

(Any 5 × 2) (10)

4.2 4.2.1

- Preference for detailed work
- Fear of failure
- Distrust of others
- Workaholics (Any explanation) (4 × 3) (12)

4.2.2 Position power – is a formal form of power in a legitimate set-up.

This includes:
Legitimate power when starting your own business
Coercive power – use of treats
Reward power – proper payment

Personal power – Power to influence others based on:
Expert knowledge✓ or charismatic influence✓

Subordinate power
Power of the group or workers
Collective power
Expert power
Financial power (Any 3 × 4) (12)

4.3 Job description of a marketing manager

Job title: Marketing Manager✓

Location: Any detailed address✓

Reporting to: Marketing Director (any senior management)✓

Job summary: The marketing manager will be responsible for the day-to-day marketing activities and long-term marketing strategies of the business or organisation.✓✓

Duties
- Managing all marketing activities in the marketing department✓
- Developing the marketing strategy for the business✓
- Coordinating marketing campaigns with sales activities✓
- Overseeing the marketing budget✓
- Maintaining effective internal communication
- Creating and publishing all marketing material
- Planning and implementing promotional campaigns
- Creating a wide range of different marketing materials

Requirements:
- Bachelor degree in marketing or equivalent✓
- Qualified marketer✓
- Confident and dynamic personality✓
- Strong creative outlook
- Strong managerial skills
- Work experience
- Ability to use initiative
- Good communication skills
- Good organisation skills
- Any appropriate requirement

Terms and conditions:

Length of the contract: Fixed term, permanent✓

Salary: Reasonable amount (above R350 000 per annum)✓

Hours: Normal working hours✓

Probationary period: Six months (any time frame from 1–12 months)✓

(TWO marks each for any FOUR duties, TWO marks for job summary and a maximum of SIX marks for other items) (16)

[50]

QUESTION 5

5.1 5.1.1 Current assets
Current liabilities✓

120 000✓
70 000✓

1,71:1✓✓ (5)

5.1.2 Net profit after tax × 100✓
Average capital

80 500✓ ×100√
289 500✓

27,81%✓✓ (6)

5.1.3 Current assets - stock✓
Current liabilities

120 000✓ - 15 000✓
70 000✓

1,5:1✓

AVERAGE DEBTORS COLLECTION PERIOD

Average debtors × 365 days✓
Credit sales

90 000✓ × 365 days
80/100 × 650 000

90 000 × 365 days✓
520 000✓

63,17 days✓✓ (12)

5.1.4 YES✓

Based on current ratio of 1,7.1 (norm is 2:1, but 1,7:1 is not too bad)✓✓
Based on return on investment of 27,81% (more than what most financial institutions offers)✓✓
Based on acid test ratio of 1,5: 1 (norm is 1:1)✓✓ (3 × 2) (6)

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5.2 Scheduling✓
- Prepare a plan or a programme of activities✓
- Allocate resources to each activity and indicate time frame✓

Planning of activities and control✓
- Plan and manage activities properly.✓
- Decide on what materials should be purchased, how much should be purchased and when the ordering should be done.✓

Quality control✓
- Quality checks must be done at certain stages of the transformation process.✓✓

Maintenance✓
- Correct or prevent faults✓
- Problems and breakdowns of machinery and equipment due to a lack of proper servicing, which include human errors and technical failures.✓

Performance✓
- It focuses on day-to-day operations of the business.✓
- Making decisions on the proper working methods and using evaluation methods to measure performance✓ (5 × 3) (15)

5.3 5.3.1
- Pricing should be reasonable.
- Pricing should be affordable and competitive in comparison with her competitors.
- Analysing overhead costs.
- Gaining economies of scale.

5.3.2
- Quality service
- Meet the needs of customers
- See customers as valuable assets
- Show appreciation to customers
- Prompt services
- Availability of stock and services

53.3
- Constant added value to existing products or services
- Product differentiation
- Provide substitute goods or services that satisfy the same basic needs of the customers.

(Any 3 × 2) (6)
[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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